

SUKANYA SAMRIDDHI YOJANA

Sukanya Samriddhi Yojana was a special financial scheme initiated by the Government of India that encourages investment towards girl child's marriage and education. The scheme is managed by the banks. The scheme aims at promoting education for girls and their welfare in the country while paying unwavering attention to their needs. Let us understand the important features of the same –

INTEREST

As of May 2020, Sukanya Samriddhi Scheme offers an interest return of 7.6% p.a. compounded annually, which is all paid at maturity.

TENURE

Sukanya Samridhi Scheme matures in 21 years or when a girl turns 21, whichever is sooner. Partial maturity occurs when the girl turns 18 as well. The entire principal and interest is paid at maturity.

TAX TREATMENT

The returns are taxed under ordinary income. However, while making the investment, the amount invested can be claimed for a deduction under Section 80C of the old regime of tax law. The limit here is Rs. 1.5 lacs across categories that we can invest in.

SUITABILITY

Sukanya Samriddhi Scheme Account can be opened by the guardian of a girl child under the age of 10. The account can be closed after the completion of 21 years. So, this is suitable for anyone who has lower risk-taking ability or willingness and needs to plan for their girl child's future. Alternate asset classes to plan for the same is suitable for those with relatively higher risk-taking ability.

PURPOSE

Sukanya Samriddhi Scheme was introduced to plan for Education and Welfare of Girl Child in the country by providing a reliable financial program for the same.

PREMATURE WITHDRAWAL

Premature Withdrawal of the Sukanya Samridhdhi Scheme is restricted. 50% of the previous year's balance can be withdrawn once the girl turns 18. Full withdrawal can be done under specific circumstances – the medical treatment of girl child under life-threatening disease or death of the guardian. Otherwise, premature withdrawal is very restricted.

HOW TO BUY

We can visit post office or select banks that can help us buy the same. This cannot be opened online.